

Personal Loan Policy

Last updated: January 2025

Overview

This policy describes how we originate, price, and service unsecured personal loans. It covers eligibility, loan amounts, terms, the application process, disbursement, and what borrowers can expect throughout the life of the loan. Personal loans are not secured by collateral; approval and pricing depend primarily on creditworthiness and ability to repay.

1. Loan Amounts And Terms

1.1 Available Amounts

Personal loans range from \$1,000 to \$50,000. The maximum amount offered to any individual borrower depends on income, existing debt, and credit profile.

1.2 Repayment Terms

Available terms are 12, 24, 36, 48, and 60 months. Longer terms lower the monthly payment but increase total interest paid over the life of the loan.

1.3 Fixed Rates

All personal loans carry a fixed annual percentage rate (APR) for the full term. The monthly payment does not change once the loan is funded.

1.4 Permitted Uses

Funds may be used for debt consolidation, home improvement, medical expenses, major purchases, and similar personal needs. Personal loan funds may not be used for post-secondary education tuition, business capital, illegal activity, or securities investing.

2. Eligibility Requirements

2.1 Minimum Criteria

To qualify, an applicant must:

- Be at least 18 years of age (19 in some jurisdictions)
- Be a citizen or permanent resident with a valid government ID
- Have a verifiable source of regular income
- Hold an active checking account in their own name

2.2 Credit Score

A minimum FICO score of 660 is generally required for approval. Applicants with scores between 660 and 699 may receive higher rates or reduced loan amounts.

2.3 Debt-To-Income Ratio

Total monthly debt obligations, including the proposed loan payment, should not exceed 43% of gross monthly income. Applications above this threshold are subject to additional review.

2.4 Income Verification

We verify income using pay stubs, W-2 forms, tax returns, or bank statements. Self-employed applicants must provide two years of tax returns and a recent profit-and-loss statement.

3. Application Process

3.1 Prequalification

Applicants may check estimated rates through a soft credit inquiry that does not affect their credit score. Prequalification is not a guarantee of approval.

3.2 Formal Application

Submitting a formal application authorizes a hard credit inquiry, which may temporarily lower the applicant's credit score by a few points. Required information includes identity, income, employment, and the requested amount and purpose.

3.3 Decision Timeline

Most applications receive a decision within one business day. Applications requiring manual review or additional documentation may take up to five business days.

3.4 Conditional Approval

A conditional approval lists outstanding items (for example, proof of income) that must be satisfied before funding. Conditions must be cleared within 15 calendar days or the approval expires.

4. Interest Rates And Fees

4.1 Rate Range

APRs range from 7.99% to 24.99% depending on credit profile, loan amount, and term. The rate offered is disclosed before the borrower accepts the loan.

4.2 Origination Fee

An origination fee of 1% to 6% of the loan amount may apply and is deducted from the disbursed proceeds. The fee is included in the disclosed APR.

4.3 No Prepayment Penalty

Borrowers may pay off a personal loan early, in full or in part, at any time without penalty. Early payoff reduces total interest paid.

4.4 Late Payment Fee

A late fee of \$15 or 5% of the overdue payment, whichever is less, applies when a payment is more than 10 days past due. See the Repayment Policy for details.

5. Disbursement

5.1 Funding Method

Approved funds are disbursed by ACH transfer to the borrower's verified checking account, typically within one to three business days of final approval and signed agreement.

5.2 Direct Payoff For Consolidation

For debt consolidation loans, the borrower may elect to have us pay creditors directly. Direct payoffs are sent to listed creditors within three business days of funding.

5.3 Right To Cancel

The borrower may cancel the loan within three business days of signing by repaying the disbursed principal in full. No interest accrues if cancelled within this window.

6. Repayment

6.1 Monthly Installments

Repayment is made in equal monthly installments of principal and interest. The first payment is due approximately 30 days after disbursement.

6.2 Autopay Discount

Enrolling in automatic payments from a checking account qualifies the borrower for a 0.25% APR reduction for as long as autopay remains active.

6.3 Payment Application

Payments are applied first to accrued interest and fees, then to outstanding principal. Extra payments are applied to principal unless the borrower directs otherwise.

7. Servicing And Account Management

7.1 Statements

Monthly statements are available in the online portal and show the payment due, remaining balance, interest paid, and payoff amount.

7.2 Payment Changes

Borrowers may change the autopay date or funding account through the portal with at least five business days' notice before the next due date.

7.3 Payoff Quotes

A payoff quote valid for 10 days can be requested at any time through the portal or by contacting servicing.

8. Hardship And Default

8.1 Hardship Assistance

Borrowers experiencing financial hardship may request a temporary reduced-payment or deferral arrangement. Eligibility is assessed case by case and documentation may be required. See the Default And Collections Policy.

8.2 Default

A loan is considered in default after 90 days of non-payment. Default is reported to credit bureaus and may result in the full balance becoming immediately due.

9. Contact

Our lending support team is available Monday through Friday 8 AM to 8 PM and Saturday 9 AM to 2 PM by phone at 1-800-555-0142, by secure message in the online portal, or by email at loans@bankexample.com.